

China: Q1 2026 BOP data show lower current account surplus

Bottom line:

China's preliminary Balance of Payments (BOP) data showed a lower but still solid current account surplus and a narrower capital/financial account deficit in Q1 2026. The current account surplus decreased to 3.8% of GDP in Q1 from 4.5% in Q4 2025 (not seasonally adjusted), and FX reserves increased in Q1.

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Main points:

1. The preliminary BOP data show three main categories of China's international transactions—i.e., the current account (with breakdown into various sub-categories), the capital and financial account (including the net errors and omissions, with net FDI individually reported), and reserve assets flow. In Q1 2026, the current account surplus stood at US\$184bn, or 3.8% of GDP (NSA basis; vs. 4.5% of GDP in Q4 2025, [Exhibit 2](#)). The goods trade surplus declined on seasonal patterns and remained unchanged year-over-year, and the services trade deficit widened slightly. The income and transfer balance showed smaller outflows in Q1 vs Q4 2025. Altogether, the current account surplus narrowed in Q1 from Q4 2025 on a NSA basis ([Exhibit 1](#)). After seasonal adjustment, the current account surplus also narrowed in Q1 (3.9% of GDP) vs. Q4 2025 (4.3% of GDP).
2. The capital and financial account (including net error and omissions) showed slower net outflows. The outflows through net direct investment were US\$10bn in Q1, vs. US\$6bn inflows in Q4 2025 ([Exhibit 3](#)). SAFE FX net receipts related to portfolio investment declined from Q4 2025 to Q1 2026, implying that portfolio investment likely saw increased net outflows from Q4 2025 to Q1 2026. A detailed breakdown on portfolio and other investment flows will be released towards the end of June.
3. Reserve assets showed a US\$48bn increase (higher reserves) in Q1, in comparison with the US\$6bn increase in Q4 2025. By contrast, the headline FX reserves rose by US\$7bn in Q1 vs Q4 2025, suggesting around -US\$41bn valuation effect in FX reserves in Q1.
4. Looking forward, we recently [revised up](#) our 2026 forecasts for China's total goods export and import volume growth to 7.2% and 6.8%, respectively (up from our previous estimates of 5.3% and 1.5%). Furthermore, we have raised our forecast for import and export price growth, primarily driven by higher energy prices. Taken together, China's goods trade surplus is likely to decrease slightly to 4.8% of GDP in 2026 (vs. 5.4% in 2025). Combining the narrower goods trade surplus and services trade deficit, we expect China's overall current account surplus to decrease modestly

to 3.4% of GDP in 2026 from 3.7% in 2025. For capital and financial accounts, we expect the picture of inward and outward FDI to remain similar this year vs. last year, and portfolio investment outflow to be smaller this year compared to last year. Taken together, we project China's broad balance of payments (BBOP) to increase to 1.8% of GDP in 2026 from 1.2% in 2025, supporting our constructive view on the RMB (Exhibit 4).

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Exhibit 1: Capital outflows decelerated and reserves rose in Q1 2026

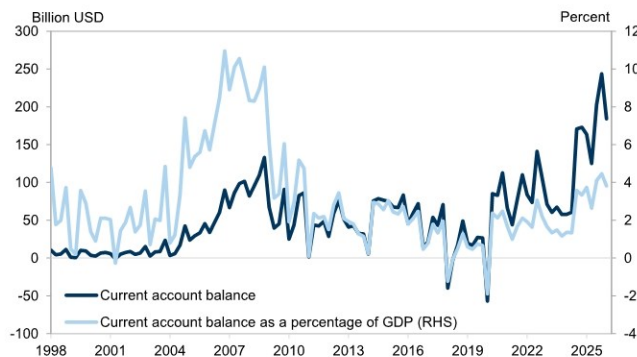
Level (Bil USD)	2019 Q1	2020 Q1	2021 Q1	2022 Q1	2023Q1	2024Q1	2025Q1	2025Q2	2025Q3	2025Q4	2026Q1
Current Account Balance (a)	19	-57	66	84	71	58	164	125	202	244	184
as share of GDP (%)	0.6	-1.9	1.7	1.9	1.7	1.4	3.7	2.7	4.1	4.5	3.8
Trade in Goods Balance	63	12	119	137	128	132	247	227	276	310	247
Exports	532	476	704	810	759	780	855	900	969	1028	960
Imports	468	464	586	673	631	648	608	673	692	718	712
Trade in Services Balance	-62	-54	-36	-22	-47	-66	-72	-58	-60	-49	-60
Exports	56	49	62	81	77	83	88	90	98	108	101
Imports	118	103	98	103	124	148	160	148	158	157	161
Income and transfer balance	18	-14	-17	-31	-9	-8	-12	-43	-14	-18	-4
Capital and Financial Account Balance* (b)	-9	32	-32	-45	-49	-14	-195	-135	-214	-238	-136
Direct Investment	23	10	57	49	-32	-27	-35	-13	-36	6	-10
Portfolio Investment	19	-51	-13	-79	-52	-20	-61	-56	-191	-117	n.a.
Other Investment	-11	32	-91	-1	28	17	-89	-59	-33	-113	n.a.
Net errors and omissions	-41	45	11	-7	5	21	-3	2	48	-9	n.a.
Reserve Assets** (c=a+b)	10	-25	35	39	22	43	-31	-10	-12	6	48

*Included net error and omissions

**Positive sign means increase in reserve assets

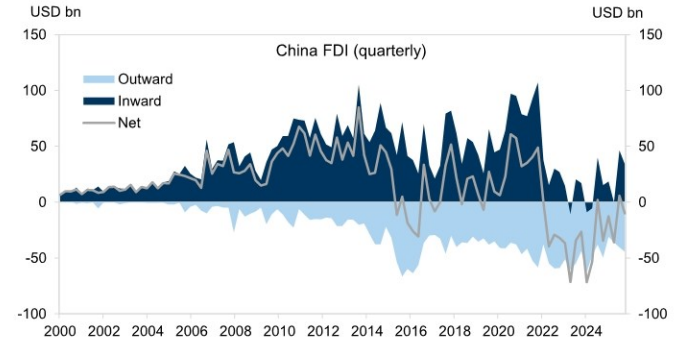
Source: SAFE, Goldman Sachs Global Investment Research

Exhibit 2: Current account balance moderated in Q1



Source: Haver Analytics

Exhibit 3: Outward FDI marginally outpaced inward FDI in Q1



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: We expect the broad balance of payments (BBOP) to increase in 2026

(USD bn)	2019	2020	2021	2022	2023	2024	2025	2026F
CA balance	90	224	297	404	257	462	735	751
CA as % of GDP	0.6	1.5	1.6	2.2	1.4	2.4	3.7	3.4
Goods trade balance	371	500	537	651	600	809	1061	1056
Exports	2412	2539	3255	3397	3263	3523	3752	4126
Imports	2040	2039	2718	2746	2663	2714	2692	3070
Service trade balance	-252	-167	-131	-113	-221	-255	-238	-215
Exports	232	210	284	310	300	347	385	427
Imports	484	377	414	422	521	602	623	642
Primary/secondary income	-29	-110	-109	-134	-122	-92	-87	-89
Direct investment	50	99	165	-20	-174	-150	-77	-50
Inward	187	253	344	190	51	43	80	100
Outward	-137	-154	-179	-210	-226	-192	-157	-150
Portfolio investment	58	96	51	-289	-58	-179	-426	-310
Equity	16	-51	-2	-9	-44	-138	-172	-110
Bond	42	147	53	-280	-14	-42	-253	-200
BBOP	198	419	514	95	25	133	232	391
BBOP as % of GDP	1.4	2.8	2.8	0.5	0.1	0.7	1.2	1.8

Source: Goldman Sachs Global Investment Research, Haver Analytics

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